

TICKET SALES AND DYNAMIC PRICING I



“We have seen an increase in ticket revenue over the same time last year based on dynamic pricing”

TOM GARFINKEL, PRESIDENT MIAMI DOLPHINS (2015)

Source – <https://www.sportsbusinessjournal.com/Journal/Issues/2015/10/26/Leagues-and-Governing-Bodies/NFL-dynamic.aspx>

COLLEGE FOOTBALL HOME GAME TICKET PRICE

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**WHICH COLLEGE FOOTBALL REGULAR
SEASON GAME HAS THE MOST
EXPENSIVE TICKET PRICE DURING THE
2019-20 SEASON? (PRE COVID)**

NOTRE DAME AT GEORGIA (SEPT 21, 2019)



ADMIT ONE

LOWEST LISTING:

\$570

HIGHEST LISTING:

\$9000

**ASSUME THAT YOU ARE A BIG FAN OF
NOTRE DAME FIGHTING IRISH OR
BULLDOGS. HOW MUCH WOULD YOU BE
WILLING TO PAY TO WATCH THIS GAME?**

LSU AT TEXAS (SEPT 7)



ADMIT ONE

LOWEST LISTING:

\$300

HIGHEST LISTING:

\$9,975

07

NEBRASKA AT COLORADO (SEPT 7)



ADMIT ONE

LOWEST LISTING:

\$249.99

HIGHEST LISTING:

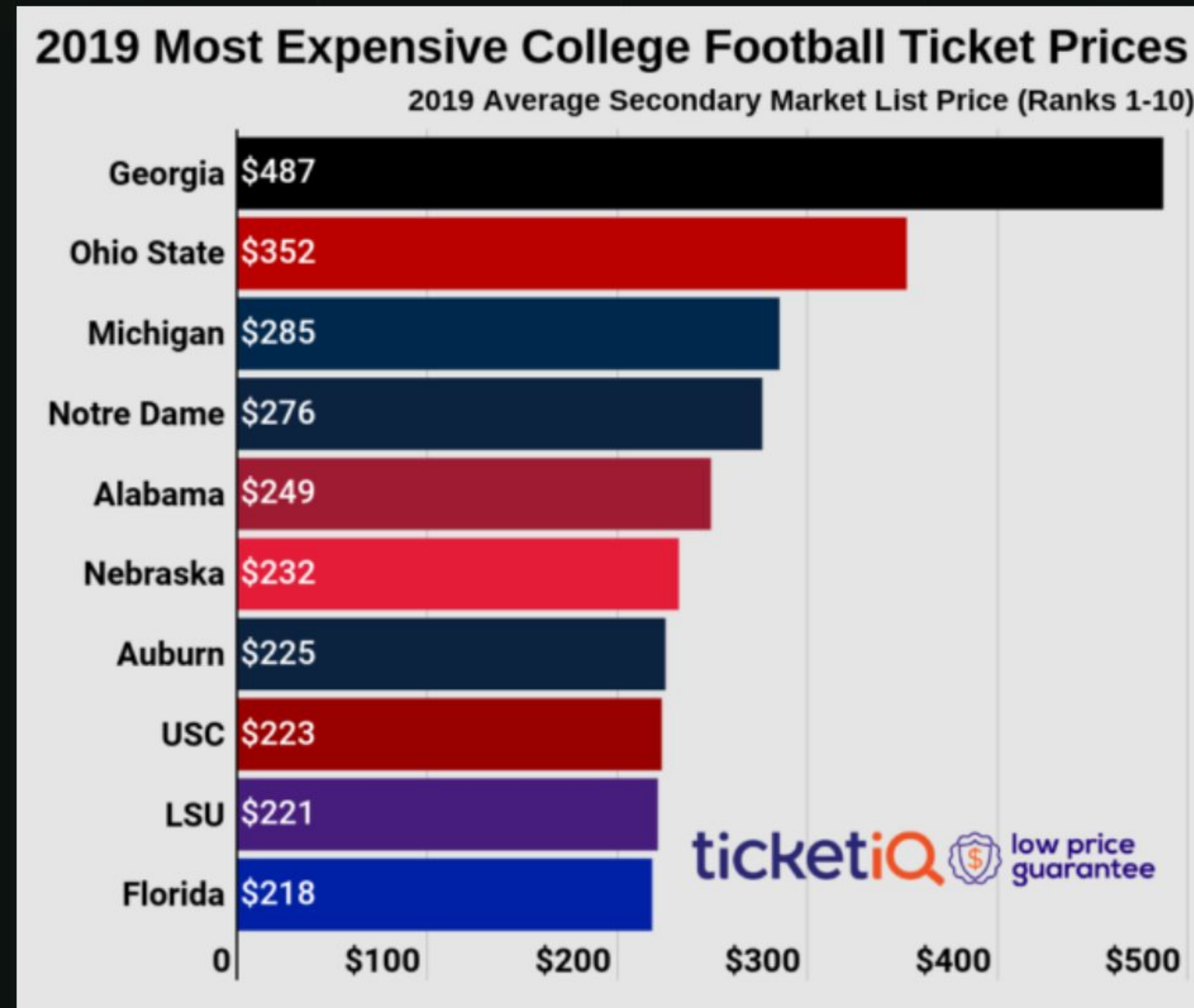
\$1,500

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2019 MOST EXPENSIVE COLLEGE FOOTBALL AVERAGE TICKET PRICES BY TEAMS

THE MOST EXPENSIVE COLLEGE FOOTBALL GAMES OF 2019

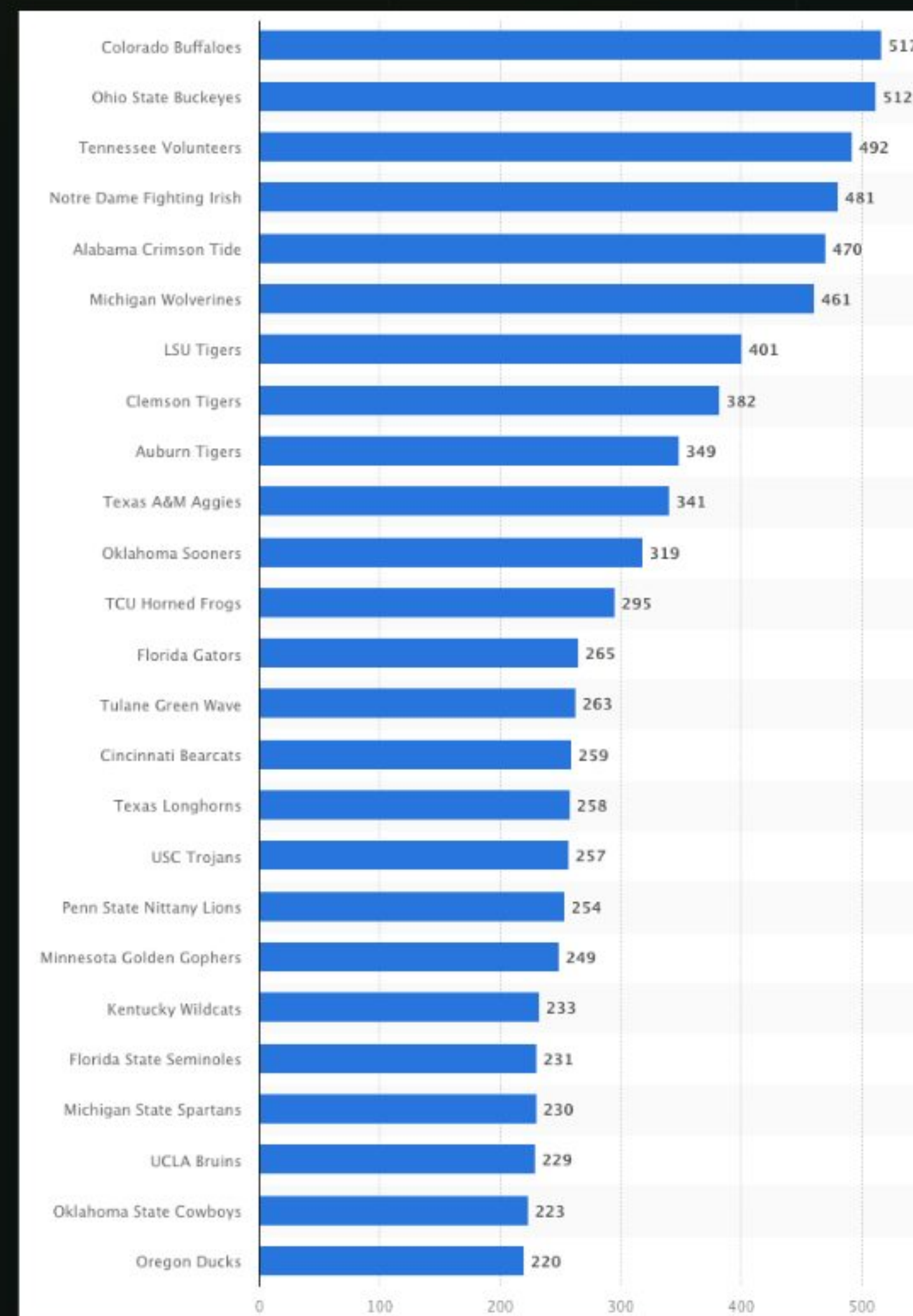
Are we able to afford those tickets?



2023 MOST EXPENSIVE COLLEGE FOOTBALL AVERAGE TICKET PRICES

2023

Can we manage to afford those tickets?



- 2024 ticket prices are listed here: [247sports: 20 most expensive tickets for the 2024 season](#)

A woman with black hair and glasses, wearing a black top, is making a wide-eyed, open-mouthed 'Why?' expression. The word 'Why' is repeated multiple times in black and red text around her head.

COLLEGE FOOTBALL'S GROWING PROBLEM: EMPTY SEATS



Please read this article!!

- Posted on the Canvas as well

Source — <https://www.wsj.com/articles/college-footballs-growing-problem-empty-seats-1535634001>

PRICING TICKETS

PRICING TICKETS

How are ticket prices determined?



PRICING TICKETS CONT.

Why are prices different?



- Conference, Popularity, Demand, Opponent, etc.

PRICING TICKETS CONT.

RISHE & MONDELLO (2004)

“Ticket Price Determination in Professional Sports”



- Team performance from previous season
- Revenue needs of the team
- Price sensitivities of the market
- Fan identification
- Public relations issues
- Average league ticket price

PRICING TICKETS CONT.

RISHE & MONDELLO (2004)

“Ticket Price Determination in Professional Sports”



- Playing in a new stadium
- Fan income levels
- Population size

PRICING TICKETS CONT.

RISHE & MONDELLO (2004)

“Ticket Price Determination in Professional Sports”

$$\text{LTIX}_{i,t} = a_0 + a_1 \text{HWIN}_{i,t-1} + a_2 \text{INCOME} + a_3 \text{Pay}_{i,t} + a_4 \text{POPL} + a_5 \text{TREND} + a_6 \text{CAP}_{i,t-1} + a_7 \text{STAD}$$

- HWIN = Average number of wins (previous three seasons)
- PAY = team's payroll
- TREND = size of ticket price increases
- STAD = team is in the first year of playing in a new facility
- INCOME = income level of people from a given city
- POPL = population (used as a proxy for demand)
- CAP = attendance as a percentage of team's total capacity

PRICING TICKETS CONT.

RISHE & MONDELLO (2004)

“Ticket Price Determination in Professional Sports”

VARIABLE	MLB	NBA	NFL	NHL
POPL	0	0	0	0
INCOME	0	X	0	X
STAD	0	0	0	0
HWIN	X	0	0	X
CAP	0	0	X	0
PAY	0	0	X	X
TREND	0	X	0	X

0 = yes, x = no

PRICING TICKETS CONT.

RISHE & MONDELLO (2004)

“Ticket Price Determination in Professional Sports”



City Population

Playing in a
new facility

TICKET PRICE DETERMINANTS
OF PRO SPORTS

PRICING TICKETS CONT.



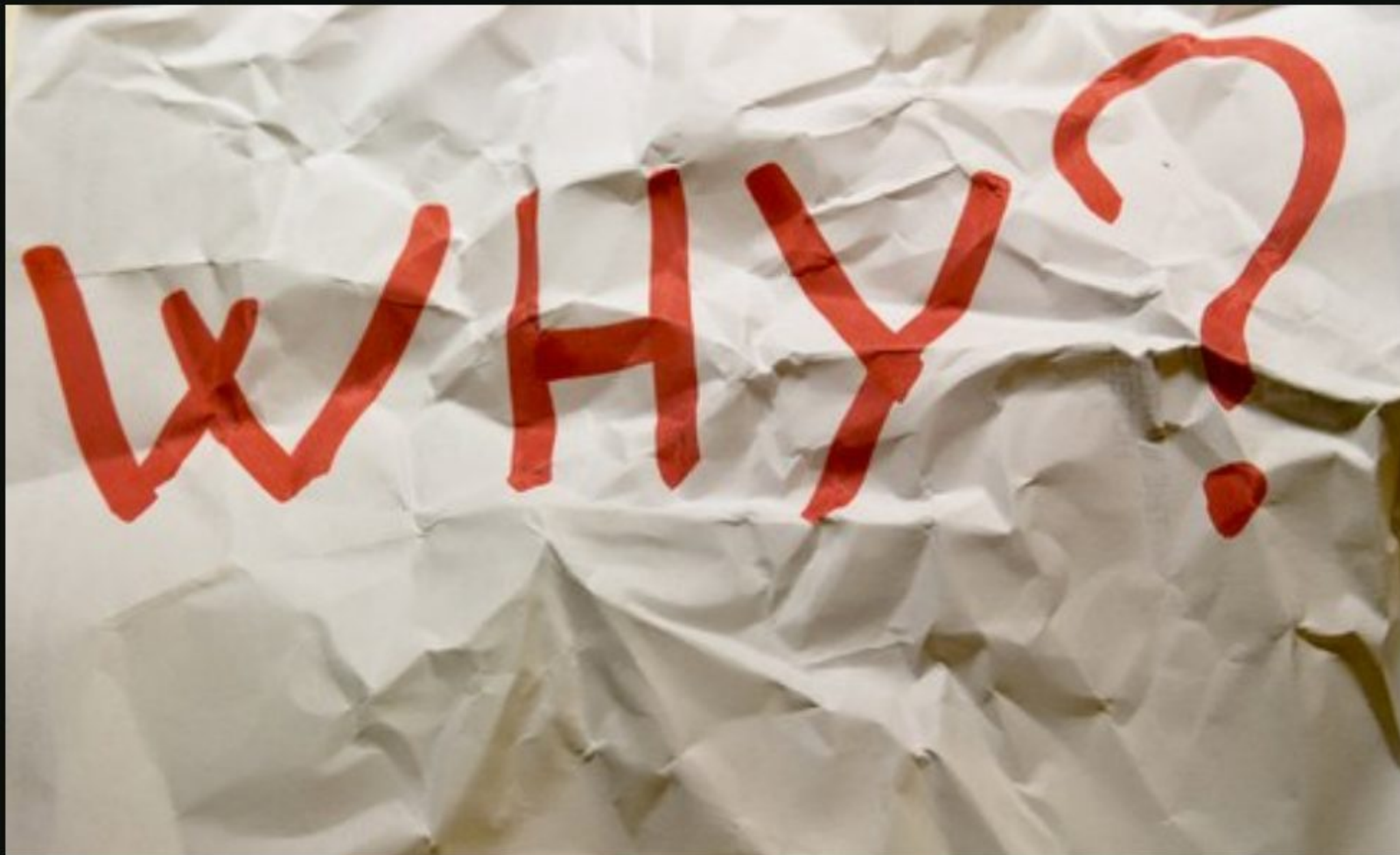
**PLEASE THINK ABOUT 5-10
FACTORS THAT POSSIBLY
INFLUENCE COLLEGE
FOOTBALL TICKET PRICES**



PRICING TICKETS CONT.

“Stanford sells out of season tickets” (ESPN, 2013)

- Stanford football has sold out of season tickets for the first time in school history.



PRICING TICKETS CONT.

“Stanford sells out of season tickets” (ESPN, 2013)



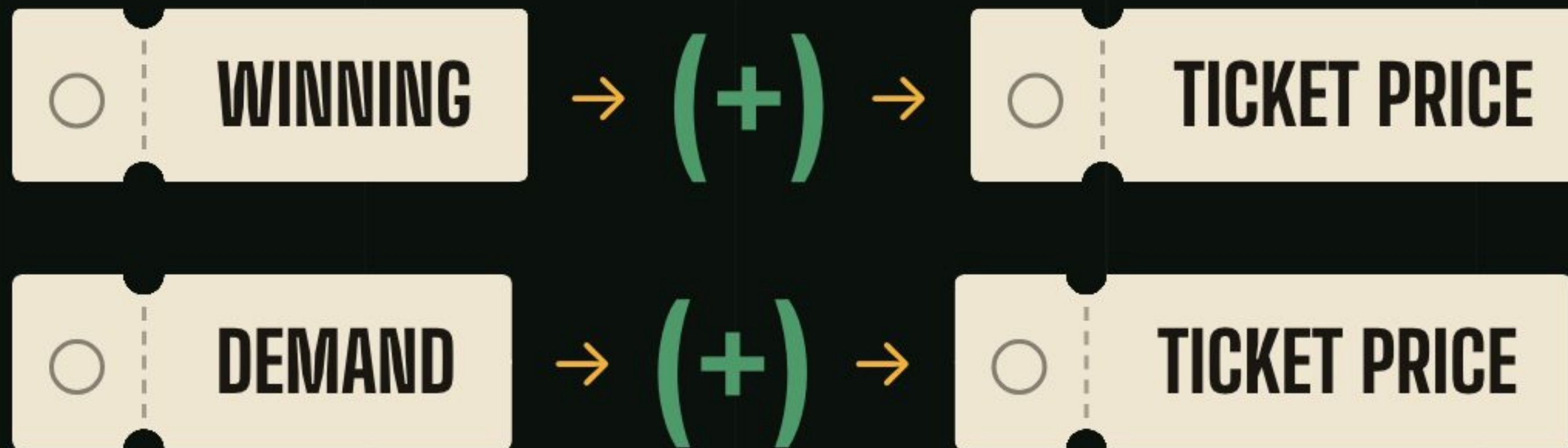
- Winning the Pac-12 Conference and Rose Bowl.
- School's first Rose Bowl victory since 1972.
- At a record 33,000 sold.
- Stanford is 24-2 at home over the last four seasons.

PRICING TICKETS CONT.

- Michigan State University completed a \$64 million renovation to 82-year-old Spartan Stadium before the season, adding 3,000 seats to expand capacity to 75,005. But in 2005, as Michigan State headed toward its fourth losing season in six years, the Spartans failed to sell out four of their six home games just a year after beginning to collect per-seat donations in 2004.



PRICING TICKETS CONT.



PRICING TICKETS CONT.

How much would you be willing to pay?



SEASON TICKET PROMO VIDEO EXAMPLES



<https://www.youtube.com/watch?v=Shsdmb9ZA3Q>



<https://www.youtube.com/watch?v=nj59Xs0D1nE>

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COLLEGE FOOTBALL TICKET PRICING IN THE POWER FIVE (SBJ, 2015)



- <https://www.sportsbusinessjournal.com/Journal/Issues/2015/08/24/In-Depth/Research.aspx>
- The donations work like NFL personal seat licenses. Programs realize there is “money on the table” since some fans place a higher value on attendance at home games than what it costs to get season tickets. So schools charge a fee to capture some of that value in order to generate maximum revenue.
- <https://thesportseconomist.com/season-ticket-prices-and-minimum-donations-at-fbs-schools/>

TRENDS IN COLLEGE FOOTBALL TICKET SALES

COLLEGES' TICKET SALES EFFORTS



- **21,557** Students
- Not big by D-1 Standards
- Averaging fewer than 50,000 people in its 55,000-seat stadium (as of 2010)
- A Three-year deal with The Aspire Group (to sell football and basketball)
- Break with college tradition

COLLEGES' TICKET SALES EFFORTS

FAN RELATIONSHIP MANAGEMENT CENTER



- <http://www.theaspiregroupinc.com/>
- Produced **\$4.5 million** in new sales revenue in the first 3 years (school shared 33% of net revenue with Aspire Group).
- Only season and group tickets for football and basketball included in these sales figure (no premium seating sales).

COLLEGES' TICKET SALES EFFORTS

What could be the first step to sell tickets?



- A database of 100,000 contacts
- Incoming freshmen, parents, regional alumni, more than 1,000 campus vendors and fans that occasionally attended games

COLLEGES' TICKET SALES EFFORTS

SCHOOLS LOOKING TO FILL SEATS ARE ADDING TO THEIR TICKET SALES STAFFS.



NORTHWESTERN UNIVERSITY

— Northwestern Football

— **+ 10** Full-timers

— <http://www.difebocompany.com/>

COLLEGES' TICKET SALES EFFORTS CONT.

SCHOOLS LOOKING TO FILL SEATS ARE ADDING TO THEIR TICKET SALES STAFFS.



— Cincinnati football

— + 4 Full-timers

— + 10 part-timers

COLLEGES' TICKET SALES EFFORTS CONT.

SCHOOLS LOOKING TO FILL SEATS ARE ADDING TO THEIR TICKET SALES STAFFS.



— LSU men's basketball

— **+** **4** Part timers

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COLLEGES' TICKET SALES EFFORTS CONT.

Keys to building a successful collegiate ticket sales department:

- 1. Full commitment from athletic department to promote a sales culture
- 2. Proper infrastructure
- 3. Sales manager and full-time staff dedicated entirely to ticket sales
- 4. Incentives (commissions/bonuses) for performance
- 5. Strategy for season tickets, group sales and partial plans
- 6. Focus on revenue sports with greatest ROI potential
- 7. Training opportunities
- 8. Review of pricing strategies

— **OUTSOURCING**

DiFEBO COMPANY, LLC

COLLEGES' TICKET SALES EFFORTS CONT.

School	In-House/Vendor	% Increase in Ticket Revenue	FB Record Year Prior	FB Record Year After
Akron	IMG Learfield Ticket Solutions	36.7	1-11	1-11
Bowling Green	Collegiate Consulting & Hands On Sports	14.9	2-10	5-7
Florida International	The Aspire Group	39.4	7-6	8-5
Florida State	<u>In-House</u>	14.0	7-6	10-4
Georgia Tech	The Aspire Group	23.1	9-4	11-3
Kansas State	In-House	5.9	6-6	7-6
LSU	In-House	10.6	11-2	13-1
Maryland	The Aspire Group	26.0	9-4	2-10
North Carolina State	IMG Learfield Ticket Solutions	8.2	7-6	3-9
South Florida	IMG Learfield Ticket Solutions	14.4	5-7	3-9
UTEP	IMG Learfield Ticket Solutions	31.0	5-7	3-9
Western Michigan	The Aspire Group	30.3	6-6	7-6

QUESTIONS?

